Global Economics Comment: More Chinese Exports, Fewer Chinese Imports, Lower Global Inflation

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- Chinese exports to non-US DMs have grown rapidly since the pandemic, reflecting both trade reallocation away from the US and overall export strength. At the same time, Chinese imports from the rest of the world have pulled back amid an increased push for self-sufficiency. In this *Global Economics Comment*, we check in on how these shifting trade patterns are affecting inflation.
- Leveraging a harmonized cross-country trade-inflation panel, we find that each 1pp increase in Chinese exports to other countries (as a share of total consumption in the recipient countries) since 2024 is associated with a 0.5% decline in goods prices. On average, we estimate this channel has lowered goods prices by 0.6% across non-US DMs so far.
- Using the same harmonized panel, we find that for a country-product pair with complete import dependence, a 1pp decline in China's share of global imports of that product would lower prices by 1.3%. This channel implies a modest incremental drag of around 0.1% on realized goods prices.
- Combined, our analysis suggests that these dynamics have lowered goods prices by 0.7% across non-US DMs over the last two years—corresponding to a 0.1-0.2pp drag on annual headline and core inflation in DMs—with larger effects in Japan (1.1%) and the Euro area (1.0%). We expect these effects to build moving forward, both because realized trade shifts will take time to fully pass through to consumer prices, and because our China economics team expects the current account surplus will continue to widen.

More Chinese Exports, Fewer Chinese Imports, Lower Global Inflation

China's exports to non-US DMs have grown rapidly since the pandemic, while China's imports from the rest of the world have pulled back amid an increased push for self-sufficiency. We have previously argued that increased goods supply from China should exert a meaningful disinflationary impulse across DMs, especially in Europe (as highlighted by our European economics team). In this *Global Economics Comment* we check in on how these shifting trade patterns are affecting inflation to date.

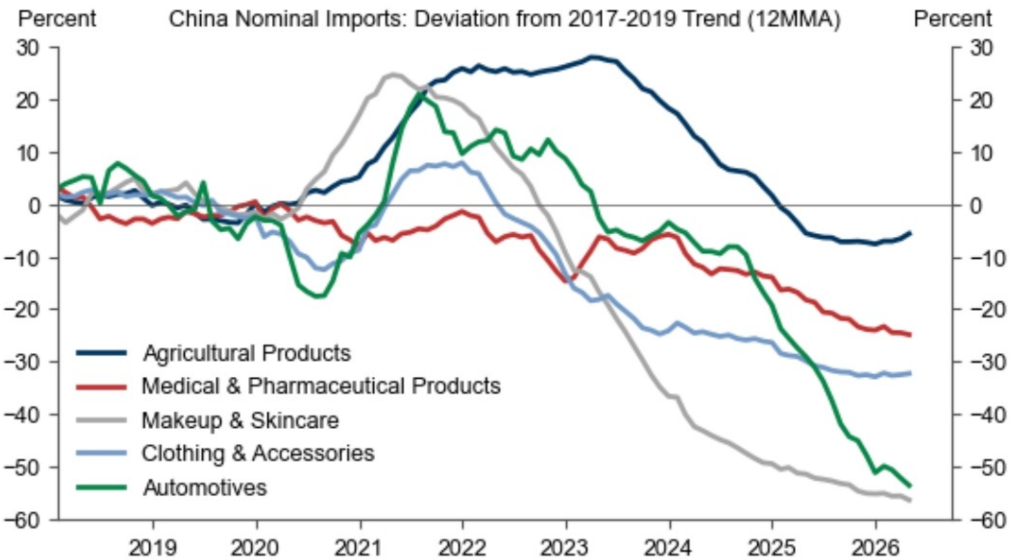
Exhibit 1 shows that China's nominal exports to non-US DMs have grown around 20% since 2024, whereas exports to the US have dropped sharply amid ongoing trade tensions. While part of the increase in exports to other DMs likely reflects trade reallocation, overall export growth has also been robust despite the pullback in US demand.

Exhibit 1: China's Total Exports Have Grown Rapidly Despite a Pullback in the US

Source: Haver Analytics, Goldman Sachs Global Investment Research

In addition to the rapid growth in China's exports, China's imports from other countries have undershot their pre-pandemic trend across a range of products (Exhibit 2), reflecting an ongoing push by Chinese policymakers to increase self-sufficiency.

Exhibit 2: Chinese Import Growth Has Undershot Its Pre-Pandemic Trend



Source: Haver Analytics, Goldman Sachs Global Investment Research

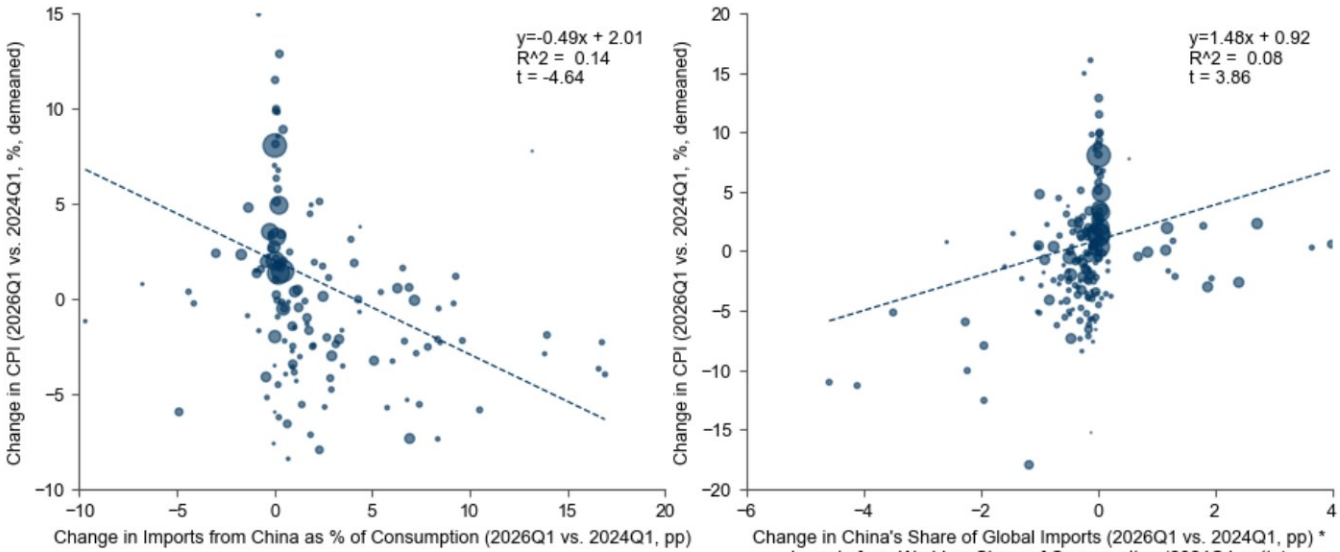
These trade shifts should put downward pressure on DM prices via two channels. First, increased Chinese exports should directly increase supply and lower consumer prices in recipient economies. Second, lower Chinese demand for imports from the rest of the world should free up supply in global goods markets, providing an additional disinflationary impulse. Our previous review of the literature suggested that, on average, a 1% increase in foreign goods supply (measured as a share of overall domestic goods demand) lowers consumer prices by 0.8%.

To assess how much these dynamics have played out so far, we build a cross-country panel linking inflation and trade data. We map trade data at the 6-digit harmonized system (HS) level to goods inflation categories at the 3-digit COICOP (Classification of Individual Consumption According to Purpose) level in two steps. First, we use a UN Statistics Division (UNSD) crosswalk to convert trade data into Eurostat's Classification of Products by Activity (CPA). Second, we apply Eurostat bridging matrices to allocate CPA-level imports across COICOP consumption categories. In countries that do not report inflation data according to COICOP, we construct harmonized measures of inflation using the closest available analogues.

Leveraging this panel, we quantify the effect of the first channel by relating Chinese import penetration (defined as Chinese exports as a share of total consumption in recipient countries) to prices across major non-US economies that have reported detailed trade data for Q1 of this year. The pooled scatter on the left-hand side of Exhibit 3—which controls for country fixed-effects—shows a negative and statistically significant correlation between Chinese import penetration and goods prices. Each 1pp increase in Chinese import penetration between 2024Q1 and 2026Q1 is associated with a 0.5% decline in prices over the same period.

We estimate the second channel using the same harmonized panel. This time our variable of interest is the interaction between the change in China's import demand for a given product (as a percentage of global import demand) and global import exposure at the country-product level (as a share of total consumption) across DMs. The right-hand side of Exhibit 3 shows that most country-product pairs experienced small, slightly negative changes in China's share of global import demand (scaled by overall import exposure). However, larger changes have generally translated into intuitive price shifts, with a positive and statistically significant relationship between demand for imports from abroad and prices in other major economies. The slope coefficient in the pooled scatter implies that, for a country-product pair that is fully import-dependent, a 1pp decline in China's share of global import demand would lower prices by 1.3%.

Exhibit 3: Higher Exports and Lower Imports in China Are Both Associated with Lower DM Prices

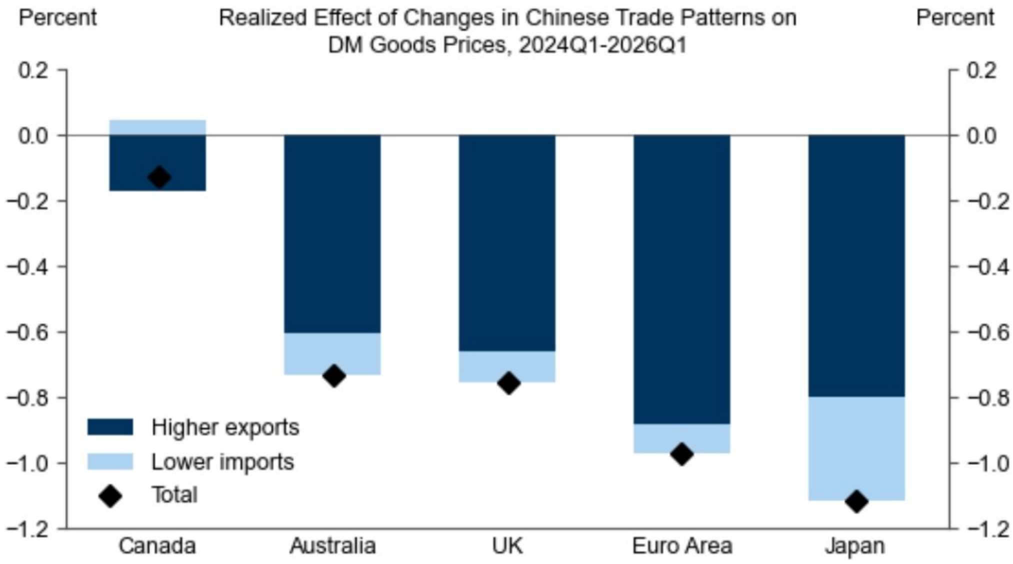


Note: Bubble size corresponds to 2024 CPI weight.

Source: UN Comtrade, UNSD, Eurostat, Haver Analytics, Goldman Sachs Global Investment Research

Combining the results of our pooled regressions with realized trade data suggests that shifts in Chinese trade patterns have lowered goods prices by 0.7% on average over the last two years (Exhibit 4), corresponding to a 0.1-0.2pp drag on annual headline and core inflation in DMs. The effect is driven mainly by higher Chinese exports, which have reduced goods prices by 0.6% on average, with a modest incremental drag of around 0.1% from lower Chinese imports. The impacts are largest in the Euro area (1.0%), primarily because of greater Chinese import penetration into European markets, and in Japan (1.1%), where weaker Chinese demand for imports from Japan has had a somewhat larger effect. By contrast, the impact is smaller in Canada (0.2%), where Chinese import penetration has risen less.

Exhibit 4: Changes to Chinese Trade Patterns Have Reduced Prices by 0.7% Across Non-US DMs Over the Last Two Years



Source: Goldman Sachs Global Investment Research

We expect these effects to continue to build going forward, both because the impacts of realized trade shifts may not yet be fully reflected in consumer prices, and because our China economics team expects the current account surplus will continue to widen. Although the main driver of our relatively benign inflation outlook is that domestic supply and demand broadly appear in balance, these Chinese trade dynamics are another reason why inflation will likely return to near-target levels in major DMs in the upcoming years.

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